

27 Sep 2026 17:10:26 ET | 12 pages

China Automation and Machinery

What's New from China Industrial | SMID | Transport Conf 2026: Additional Color

CITI'S TAKE

In this note, we provide additional color from our conference (22-23 Sep), including data to support mgmt.'s thoughts, investors' feedback, and potential risks. [Han's Laser \(HL\)](#) and [Han's CNC \(HC\)](#) provided the most positive comments, and HC's significant increase in contract liability implies strong order book. For [Inovance](#), investors are still concerned about automation order peak-out and NEV powertrain's margin pressure. The sentiment is most bearish on 1) construction machinery due to a) potential removal of export tax rebate, b) US antidumping and countervailing investigation on linear hydraulic cylinders imported from China, India, and Mexico, including cylinders equipped on construction machines, and c) China demand slowdown, and d) overseas demand impact from US rate hikes; and on 2) battery equipment given potential ESS capex decline. Top picks in China automation and machinery are [HL \(002008.SZ\)](#) > [HC-H \(3200.HK\)](#) > [Tsugami China \(1651.HK\)](#) > [Hengli \(601100.SS\)](#).

HC: Can contract liability change imply strong order book? – Yes, we noted HC's contract liability has significantly increased since 4Q25, echoing mgmt.'s comment that up to 30% order downpayment from clients is required. We expect HC to deliver >100% YoY / at least single-digit QoQ revenue growth in 3Q26E based on 308% YoY / 3% QoQ increase in 2Q26 contract liability. (Figure 1 and 2)

HL: Growth of non-3D printing IT business in 2027? – Yes, HL's strong laser welding and [laser cutting equipment](#) revenue growth in 2026 was mainly driven by iPhone 18 Pro's/Pro Max's VC heat dissipation plate upgrade (3.5x/3.8x size of iPhone 17 Pro/Pro Max) and [variable aperture](#), both of which are volume independent. Mgmt. said that these technologies will be applied to more iPhone models in 2027.

Inovance: Will NEV powertrain GPM pressure alleviate in 3Q26? – Uncertain, as rare earth and copper prices continue to increase YoY and QoQ into 3Q26. Despite that, we expect continuous earnings recovery in 3Q26E driven by sequential general automation GPM improvement and favorable product mix change. We forecast Inovance's earnings growth to accelerate to 22% YoY in 3Q26E from 9% in 2Q26.

Construction machinery: Who will get hit the most if 1) export tariff rebate is removed and 2) US rate hikes impact overseas demand? – Sany (6031.HK / 600031.SS) is likely to be hit the most given Sany's 60% revenue from overseas in 1H26, higher than Zoomlion's (1157.HK) 57% and XCMG's (000425.SZ) 51%. Sany may also be most vulnerable to the US rate hikes as 26%-27% of its revenue comes from the Middle East and ASEAN countries where local interest rates are hard or partially pegging US fed fund rates. (Our study shows that, besides China, only Brazil, Eurozone, and Japan are independent of the US on interest rates.)

Humanoid robot: Any potential risk? – Chinese humanoid robot makers mainly rely on Nvidia's H100 GPUs for robot training. Once import replacement becomes a requirement, the progress may slow. We prefer component makers in the leading US robot maker's supply chain Hengli and [Shuanghuan](#).

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

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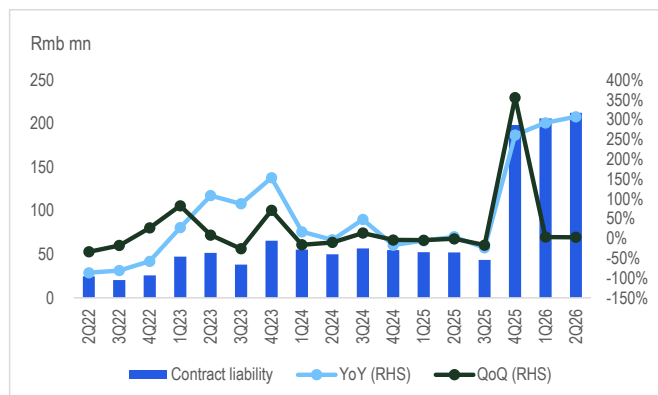
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Takeaway notes

- [Shenzhen Inovance Technology \(300124.SZ\): What's New from China Industrial | SMID | Transport Conf 2026: NEV GPM Pressure Likely to Alleviate](#)
- [OPT Machine Vision \(688686.SS\): What's New from China Industrial | SMID | Transport Conf 2026: Bright 2027 on Electronics and AI](#)
- [China Automation and Machinery: What's New from China Industrial | SMID | Transport Conf 2026: Mech-Mind \(9615.HK; Not Covered\)](#)
- [Han's Laser Technology \(002008.SZ\): What's New from China Industrial | SMID | Transport Conf 2026: 3D Printing Is Coming](#)
- [Han's CNC \(3200.HK / 301200.SZ\): What's New from China Industrial | SMID | Transport Conf 2026: Ultrafast Laser and Beyond](#)
- [Hengli Hydraulic \(601100.SS\): What's New from China Industrial | SMID | Transport Conf 2026: Risks and Opportunities Coexist](#)
- [UBTECH Robotics \(9880.HK\): What's New from China Industrial | SMID | Transport Conf 2026: 4k-5k Ind. Humanoid Robot Shipments](#)
- [Wuxi Lead \(470.HK/300450.SZ\): What's New from China Industrial | SMID | Transport Conf 2026: Order Growth Remains Strong](#)
- [CIMC Enric \(3899.HK\): What's New from China Industrial | SMID | Transport Conf 2026: Mid-Term Visibility Improves](#)

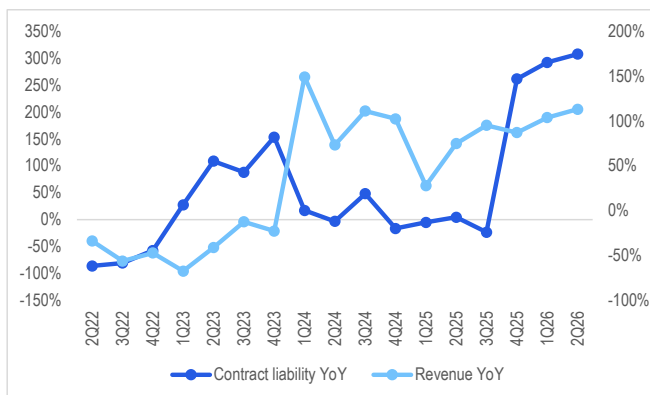
Figure 1. HC: Quarterly contract liability and YoY / QoQ trend



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Source: Citi Research, Company Reports

Figure 2. HC: Contract liability YoY vs. revenue YoY

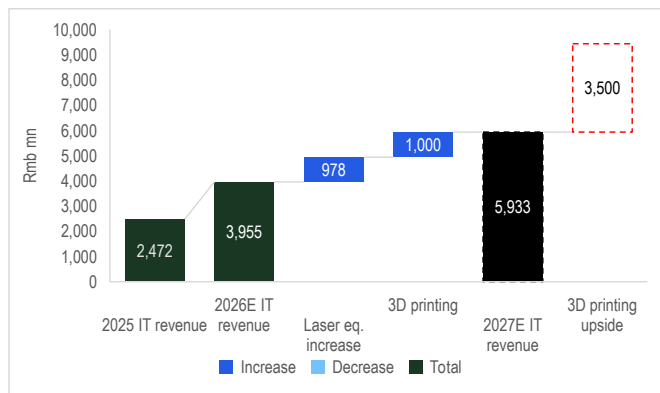


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*Order delivery usually takes 3-6 months

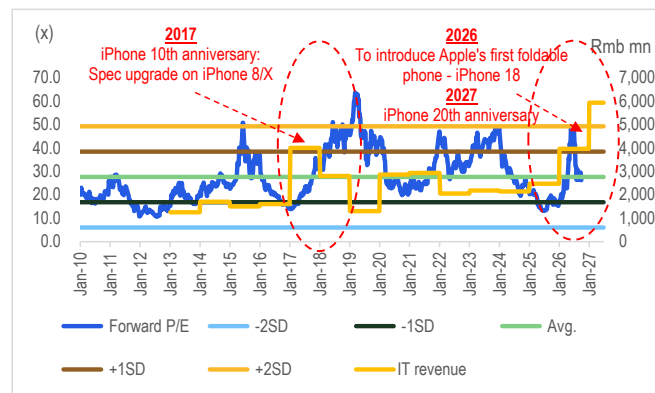
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Figure 3. HL: IT revenue change, 2025-2027E



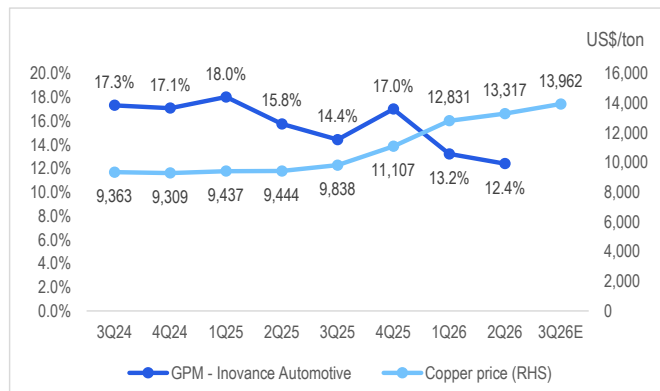
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Figure 4. HL: Forward P/E trends vs. IT (Apple) revenue



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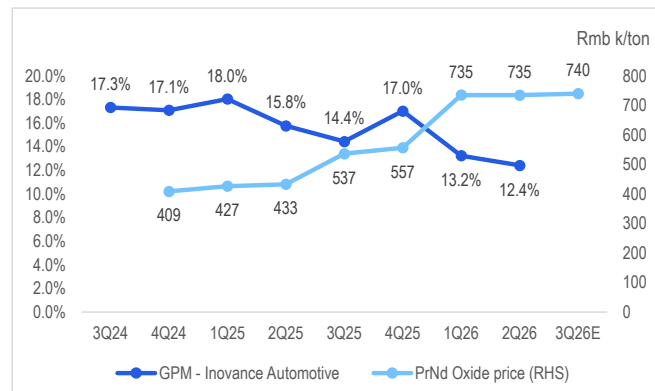
Figure 5. Inovance: NEV powertrain GPM vs. copper price



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Figure 6. Inovance: NEV powertrain GPM vs. rare earth price

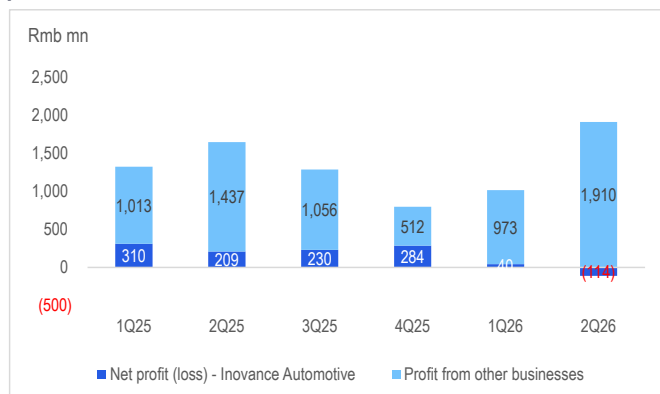


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*We use Praseodymium Neodymium (PrNd) oxide price as PrNd Oxide is a crucial material for NEV powertrain

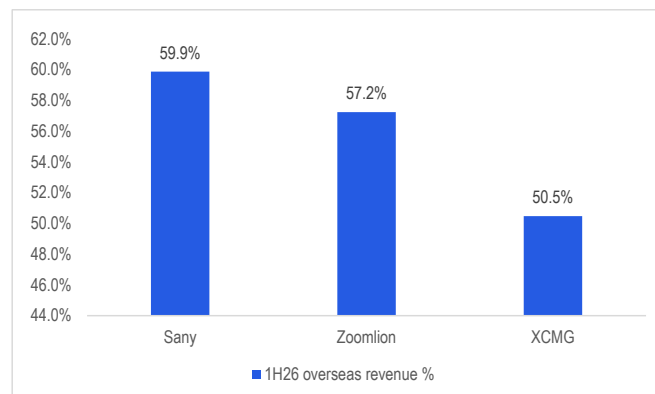
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Figure 7. Inovance: Quarterly profit (loss) from NEV powertrain and other businesses



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Source: Citi Research, Company Reports

Figure 8. 1H26 overseas revenue contribution: Sany vs. Zoomlion vs. XCMG



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Companies Mentioned:

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Appendix A-1

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